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Neighbourhood Connect

PhonePe's debut on ONDC, via its new shopping app Pincode, is set to revolutionise hyperlocal commerce

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► WALMART-OWNED FINTECH

major PhonePe has forayed into the world of e-commerce with the launch of a separate hyperlocal app 'Pincode'—a new brand that operates as a buyer-side application on the burgeoning Open Network for Digital Commerce (ONDC). This marks the first time PhonePe, in its seven-year history, has created a brand beyond its core fintech solution, which manifests the potential that ONDC holds for the future of e-commerce in India.

Industry observers believe the arrival of players like PhonePe, a leader in the UPI space with more than 450 million registered users currently, can solve some of the challenges of ONDC, such as build-

ing mass awareness and earning consumer trust and adoption, etc. Moreover, such large consumer apps have the potential to instil greater confidence into early small-scale retailers on the network who have been disheartened by the lack of order volumes, thereby boosting their participation in the platform.

"It is very important that we create an architecture that allows small retailers to also participate in e-commerce and that's what ONDC will allow. I believe, in some sense, the biggest pay-off will be in hyperlocal commerce, because now every small guy next door can participate in e-commerce," said Nandan Nilekani, Co-founder and Chairman of Infosys, and a member of ONDC's advisory council, at the launch. Pincode, available on the Google Play Store and Apple App Store, is a pure-play hyperlocal e-commerce app that connects each city's consumers with their neighbourhood stores. "ONDC is created with a vision to allow every physical retail business and service provider in the country to participate in this ongoing digital revolution, the e-commerce revolution. We feel that the way to realise this vision is to connect local neighbourhoods digitally in a way that both consumers and sellers find it attractive, convenient and affordable," said Sameer Nigam, Co-founder and CEO of PhonePe.

Drawing parallels to how Aadhaar-KYC played a pivotal role in driving user adoption in sectors such as banking and telecom, Nilekani said ONDC as a digital public infrastructure requires strong innovators like PhonePe to take it to the masses.

With a dedicated app and a massive consumer base on its existing business lines, PhonePe aims to hit a stunning 100,000 orders a day by the end of the year, which will set the pace for the competition and drive the network's journey towards the tipping point. **BT**

450 MILLION+

Number of registered users currently on PhonePe, a leader in India's UPI space

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